

JAIBB

Hand Notes

On

**Governance in Financial Institutions
(GFI)**

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Module-A: Concept and pre-requisites

1. What do you mean by corporate governance? 97(1.a)

Corporate Governance

Corporate Governance (CG) refers to the system by which companies are directed and controlled. It defines the roles and responsibilities of the board, management, shareholders, and other stakeholders. Good corporate governance ensures transparency, accountability, and fairness, balancing economic and social goals. In Bangladesh, effective CG is essential for financial institutions to maintain stability, protect investors, and promote sustainable growth.

2. "Corporate governance is the system by which business corporations are directed and controlled." Justify the statement in the context of financial institutions. 98(1.a)

"Corporate governance is the system by which business corporations are directed and controlled":

Corporate governance ensures that financial institutions operate transparently, efficiently, and ethically. In the context of financial institutions:

1. **Ensures Accountability** – Establishes clear roles for the board, management, and stakeholders to prevent mismanagement.
2. **Enhances Stability** – Strengthens risk management, reducing financial crises and protecting depositors.
3. **Promotes Transparency** – Requires financial reporting and disclosure to build trust among investors and regulators.
4. **Protects Stakeholders' Interests** – Balances the interests of shareholders, customers, and regulatory bodies.
5. **Encourages Compliance** – Ensures adherence to laws and regulations, preventing fraud and financial misconduct.

Strong corporate governance in banks is crucial for financial stability, economic growth, and public confidence.

3. "Good governance not only boosts the reputation of the bank, but also has several benefits to its progress." Explain the statement in brief. 98 (1.d)

Good governance not only boosts the reputation of the bank, but also has several benefits to its progress:

Good governance in banks ensures transparency, accountability, and sound management, which strengthens their reputation. The benefits include:

1. **Enhanced Trust** – Customers and investors have more confidence in banks with strong governance, increasing business and investment.
2. **Risk Management** – It helps in identifying and managing financial and operational risks effectively.
3. **Regulatory Compliance** – Ensures adherence to legal and regulatory requirements, avoiding penalties and maintaining operations.
4. **Long-Term Sustainability** – Promotes strategic decisions that support long-term growth and profitability.
5. **Attracting Investors** – A well-governed bank attracts investors and stakeholders, which contributes to capital growth.
6. **Operational Efficiency** – Good governance practices lead to better decision-making, reducing inefficiencies and improving overall performance.

Maintaining strong corporate governance is crucial for the stability and growth of banks.

4. Why is corporate governance so important in the financial institutions? 98(1.b)

Importance of Corporate Governance in Financial Institutions

1. **Ensures Accountability** – Corporate governance ensures that the management is accountable to stakeholders, which helps in preventing mismanagement of funds.
2. **Risk Management** – It helps identify and manage risks, ensuring the financial stability of the institution.
3. **Regulatory Compliance** – Ensures that the institution complies with legal and regulatory requirements, reducing the risk of penalties.
4. **Builds Trust** – Good governance increases trust among customers, investors, and regulators, which leads to business growth.

5. **Protects Stakeholders** – Safeguards the interests of stakeholders, especially depositors, by ensuring transparency and ethical operations.

In Bangladesh, corporate governance in financial institutions is essential for maintaining public trust and ensuring long-term growth.

5. Discuss in brief the key aspects of good governance. 98(1.c)

Key Aspects of Good Governance in Financial Institutions

1. **Proper Leadership** – Board members must lead the bank by defining, guiding, and controlling its strategy, including organizational culture, risk control, and business management.
2. **Risk Control** – Board members should have a clear understanding of the risks threatening the bank and ensure that adequate risk management measures are in place.
3. **Capabilities** – Banks must have technically capable staff and board members with appropriate training to ensure effective leadership and risk management.
4. **Incentive Structure** – The bank's board should avoid overly ambitious growth targets that could harm the interests of depositors and employees, ensuring that incentives align with the bank's long-term success.
5. **Seriousness** – Decision-making must be transparent and well-documented, with full compliance to regulations to avoid past financial mistakes.

These aspects are crucial for strengthening financial institutions and ensuring long-term stability.

6. Name the distinct sides of a corporate governance framework. Write down the main functions of these sides. 97(1.c)

Distinct Sides of a Corporate Governance Framework

1. **Shareholders**
 - **Function:** Shareholders invest in the company and have the power to vote on major issues, including electing the board of directors. They hold the company accountable for its performance and financial results.
2. **Board of Directors**
 - **Function:** The board oversees the management of the company, sets the strategic direction, and ensures that the company adheres to legal and ethical standards. It

is responsible for risk management and overall corporate performance.

3. **Management**

- **Function:** Management, led by the CEO, executes the strategies set by the board. They are responsible for the day-to-day operations of the company and for making decisions in the best interest of the company and its shareholders.

4. **Stakeholders**

- **Function:** This includes employees, customers, suppliers, and the community. Stakeholders influence corporate policies and decisions through feedback, and the company is responsible for addressing their interests and needs.

5. **Regulators**

- **Function:** Regulatory bodies establish and enforce the rules and regulations that govern the company's operations. They ensure that the company complies with legal and industry standards to maintain market integrity and protect public interest.

These sides collectively work together to ensure that corporate governance is effective and aligned with ethical standards, promoting long-term sustainability and stakeholder trust.

7. With the rising number of banking frauds, what changes to corporate governance structure of banks do you suggest to tackle it? 96(2.b)

To tackle the rising number of banking frauds, the following changes to the corporate governance structure of banks are suggested:

1. **Enhanced Board Oversight:** Strengthen the role of the board in monitoring risk management processes and fraud prevention. Boards should have more independent members with expertise in fraud detection and financial regulations.
2. **Improved Risk Management Systems:** Implement advanced, real-time risk management systems that can detect irregular activities and potential fraud patterns. Regular audits and reviews should be conducted.
3. **Transparency and Accountability:** Ensure greater transparency in the bank's operations, with clear reporting structures. Establishing a culture of accountability, where management is held responsible for fraud prevention, is key.
4. **Whistleblower Protection:** Introduce a robust whistleblower policy to encourage employees and external parties to report suspicious activities without fear of retaliation.

5. **Staff Training:** Conduct regular training programs for employees on fraud detection, ethical behavior, and compliance with regulations. Empower employees to recognize and report fraud effectively.

8. Discuss how good corporate governance can be achieved from the perspective of a bank/finance company. 99(1.b)

To achieve good corporate governance from the perspective of a bank or finance company, the following key practices can be implemented:

1. **Diversified Board:** A board with diverse skills and experiences fosters a variety of perspectives, helping to make better strategic decisions. Diverse opinions ensure that all potential risks and opportunities are considered when making key decisions.
2. **Regular Board Review:** Regular evaluations of board performance are crucial. This helps track progress, identify strengths, and pinpoint areas for improvement, ensuring continuous growth and adaptation of the company.
3. **Director Independence:** Independent directors bring fresh perspectives and help prevent stagnation. They are essential in promoting innovative ideas and protecting shareholders' interests, ensuring that decisions are not biased or overly conservative.
4. **Auditor Independence:** Ensuring that auditors work independently from the management helps maintain the credibility of financial reports. Independent auditors provide accurate, unbiased assessments that build trust with stakeholders.
5. **Transparency:** Clear and honest communication with stakeholders about both successes and challenges is vital. Transparent operations build trust, strengthen the bank's reputation, and foster better relationships with customers and investors.
6. **Risk Management:** Implementing a solid risk management framework helps identify, assess, and mitigate risks. Regularly reviewing risk management processes ensures the bank is prepared for potential threats and can navigate uncertain situations effectively.

By focusing on these areas, banks and financial institutions can build a strong foundation of good corporate governance that supports sustainable growth and fosters trust among stakeholders.

9. What are the benefits of good governance in banking institutions?

Benefits of Good Governance in Banking Institutions

Good governance in banking institutions offers several benefits, including:

1. **Efficient Processes:** It ensures consistency and repeatability, boosting overall productivity and efficiency within the bank.
2. **Reducing the Cost of Capital:** A bank with strong governance practices can borrow funds at a lower rate due to its stability and ability to manage risks.
3. **Visibility of Errors:** Good governance promotes transparency, making it easier to identify and correct errors quickly, ensuring a reliable corporate structure.
4. **Improved Decision-Making:** Strong governance leads to better decision-making and quick access to information, which helps in prioritizing actions effectively.
5. **Smoother Operations:** Unified decision-making by the board ensures smoother and faster operations, saving time for other important discussions.

10. Briefly describe the corporate governance principles issued by Basel committee on banking supervision. 96(1.d)

Corporate Governance Principles Issued by Basel Committee on Banking Supervision

The Basel Committee has outlined 13 key principles for corporate governance to ensure the stability of banks and prevent failures due to weak governance. These principles are:

1. **Board's Overall Responsibilities:** The board is responsible for overseeing the bank's strategic objectives, governance framework, and corporate culture.
2. **Board Qualifications and Composition:** Board members should be qualified and understand their governance role, exercising objective judgment.
3. **Board Structure and Practices:** The board should establish appropriate governance structures and practices and periodically review their effectiveness.
4. **Senior Management:** Senior management should carry out the bank's activities according to the business strategy and policies approved by the board.
5. **Governance of Group Structures:** The parent company's board ensures the establishment of a clear governance framework across the group.
6. **Risk Management:** Banks should have an independent risk management function with access to the board.
7. **Risk Identification and Monitoring:** Risks should be monitored and controlled across the bank and its entities.

8. **Risk Communication:** An effective framework should be in place for communication of risk within the bank.
9. **Compliance:** The board oversees compliance risk, establishing appropriate policies for managing compliance.
10. **Internal Audit:** An internal audit function should provide independent assurance to the board and support good governance.
11. **Compensation:** The bank's remuneration structure should support sound governance and risk management.
12. **Disclosure and Transparency:** The governance of the bank should be transparent to stakeholders, including shareholders and customers.
13. **Role of Supervisors:** Supervisors should evaluate and guide corporate governance at banks, ensuring accountability for any failures.

These principles help enhance corporate governance and stability in banks and financial institutions.

11. Briefly discuss elements of an effective brand promise. 99(1.c)

Elements of an Effective Brand Promise

1. **Simple:** The brand promise should be a clear, concise sentence that communicates the essence of the company's mission without being vague or complex.
2. **Credible:** The promise must align with the actual customer experience. If the experience doesn't match the promise, the brand value weakens. For example, Ford's "Quality is Job 1" was damaged when customers faced frequent repairs.
3. **Different:** The promise should set the brand apart from competitors. It needs to highlight what makes the company unique in the market.
4. **Memorable:** The brand promise should resonate and be easy for customers and employees to remember, influencing decisions and interactions.
5. **Inspiring:** It should evoke an emotional connection, motivating customers to engage with the brand, while also being realistic. For instance, Apple's "Think Different" is both inspiring and achievable.

12. What is the purpose of mission and vision statement? 99(1.a)

Purpose of Mission and Vision Statement

1. **Clarity:** They provide clear direction and purpose, ensuring everyone in the organization understands its goals.
2. **Guidance:** They help guide the management in strategic decisions, particularly during times of change.
3. **Focus:** Both statements ensure alignment among employees, keeping efforts focused on common objectives.
4. **Inspiration:** They inspire employees by providing a sense of purpose and motivating them to work towards shared goals.
5. **Identity:** These statements define the organization's identity and values, helping stakeholders understand its purpose and uniqueness.

13. How do mission and vision statements help a company achieve its goals?

How Mission and Vision Statements Help a Company Achieve Its Goals

1. **Clear Direction:** They provide a roadmap for the company's long-term goals, guiding decisions and strategies.
2. **Focus:** They help employees stay focused on the company's core objectives, ensuring alignment across teams.
3. **Inspiration:** By stating the company's purpose and future, they motivate employees to work towards a common goal.
4. **Strategic Planning:** They shape the company's strategic initiatives by identifying priorities and key actions needed to achieve success.
5. **Consistency:** Mission and vision statements create consistency in actions, ensuring that all business decisions align with the organization's values and goals.
6. **Attract Stakeholders:** A clear mission and vision attract investors, customers, and partners, contributing to growth and sustainability.

14. What is the importance and benefits of a mission statement?

Importance and Benefits of a Mission Statement

1. **Clarity:** A mission statement provides clear direction, defining the organization's purpose and guiding its actions towards achieving its goals.
2. **Focus:** It helps the company stay focused on its core objectives, ensuring all decisions and actions align with the company's purpose.
3. **Motivation:** A well-defined mission statement inspires employees, creating a sense of purpose and encouraging commitment to the company's goals.
4. **Identity:** It helps define the company's identity, setting it apart from competitors and creating a clear brand image.
5. **Guidance for Decision-Making:** A mission statement serves as a framework for decision-making, ensuring that choices made align with the organization's values and objectives.

Module-B: Board and its Responsibilities

1. What are the key responsibilities and authorities of the Board of Directors as outlined by the Basel Committee in its 2015 Guidelines?

Key Responsibilities and Authorities of the Board of Directors as outlined by the Basel Committee in its 2015 Guidelines:

1. Engagement in Bank Affairs:

- ✓ The board should actively engage in the affairs of the bank, keeping up with material changes in the bank's business and the external environment.
- ✓ They should act in a timely manner to protect the bank's long-term interests.

2. Approval of Business Strategy:

- ✓ The board is responsible for overseeing the development and approval of the bank's business objectives and strategy.
- ✓ It must also monitor the implementation of the strategy.

3. Corporate Culture and Values:

- ✓ The board plays a key role in establishing and promoting the bank's corporate culture and values.

4. Oversight of Governance Framework:

- ✓ It is the board's responsibility to oversee the implementation of the bank's governance framework and periodically review its relevance based on the bank's size, complexity, and regulatory requirements.

5. Risk Appetite and Management:

- ✓ The board, in collaboration with senior management and the Chief Risk Officer (CRO), establishes the bank's risk appetite, considering the bank's long-term interests, risk exposure, and ability to manage risk effectively.
- ✓ They must also ensure compliance with risk policies and limits.

6. Approval of Key Policies:

- ✓ The board approves and oversees the implementation of key policies, such as capital adequacy assessment, liquidity plans, compliance policies, and the internal control system.

7. Financial Oversight:

- ✓ The board must ensure the maintenance of a robust finance function responsible for accurate accounting and financial data.
- ✓ They approve the annual financial statements and require periodic independent reviews.

8. Management Accountability:

- ✓ The board is responsible for holding senior management accountable for their actions, ensuring alignment with the bank's values, risk appetite, and strategic objectives. This includes overseeing executive compensation and succession plans for key positions.

These responsibilities are fundamental to ensuring that the bank operates efficiently, adheres to regulations, and manages risks appropriately.

2. What are the responsibilities and authorities of the board of directors as per 'prudential regulations for bank (2014)' issued by Bangladesh bank? 96(2.a)

* State the responsibilities and authorities of the board of directors regarding human resources management of a bank. 97(2.a)

* Briefly discuss the responsibilities and authorities of the Board of Directors regarding banking operation and risk management. 98(2.b)

* Describe the responsibilities and authorities of the board of directors regarding Internal Control Management. 99(2.c)

Responsibilities and Authorities of the Board of Directors as per the Prudential Regulations for Banks (2014) issued by Bangladesh Bank:

According to the Prudential Regulations for Banks (2014) issued by Bangladesh Bank, the Board of Directors is entrusted with several key responsibilities and authorities. These are:

1. Work-Planning and Strategic Management:

- ✓ The board is responsible for determining objectives and goals and formulating strategies and work plans on an annual basis.
- ✓ It ensures that the strategies align with the bank's objectives and goals and oversees the implementation process.

- ✓ The board reviews the success or failure in achieving the set business targets and informs shareholders of future plans and strategies.

2. Credit and Risk Management:

- ✓ The board approves policies and strategies for loan appraisal, sanctioning, disbursement, recovery, and write-off.
- ✓ It ensures that the loan approval process remains within the purview of the law and no director interferes directly in loan sanctioning.
- ✓ The board also frames policies for risk management and monitors compliance with Bangladesh Bank guidelines on key risk management.

3. Internal Control Management:

- ✓ The board ensures the maintenance of a strong internal control system to achieve a satisfactory qualitative standard for the loan/investment portfolio.
- ✓ It reviews reports from the audit committee on internal and external audits and ensures compliance with Bangladesh Bank's inspection reports.

4. Human Resources Management and Development:

- ✓ The board approves policies related to recruitment, promotion, transfer, disciplinary measures, and human resources development.
- ✓ It focuses on developing skills for prudent loan/investment appraisal and adopting modern information technologies.
- ✓ The board also establishes a Code of Ethics for all staff levels and promotes a culture of compliance.

5. Financial Management:

- ✓ The board finalizes the annual budget and statutory financial statements and monitors the bank's financial performance.
- ✓ It approves the distribution of power for expenditures, with a focus on delegating maximum authority to the CEO and subordinates.
- ✓ The board ensures the formation and functioning of an Asset-Liability Committee (ALCO) according to Bangladesh Bank guidelines.

6. Appointment of CEO:

- ✓ The board is responsible for appointing an honest, efficient, and suitable CEO with the approval of Bangladesh Bank.

7. Other Responsibilities:

- ✓ The board must comply with the responsibilities assigned by Bangladesh Bank.

8. Meeting of the Board:

- ✓ The board meets at least once every three months, and excessive meetings are discouraged.

These guidelines ensure that the board of directors maintains effective governance, proper risk management, and efficient operations within the banking institution.

3. Discuss the role of various board committees. 99(2.a)

Role of Various Board Committees

In corporate governance, the role of board committees is crucial in ensuring effective decision-making, monitoring, and risk management. Below are the key committees typically found in organizations and their roles:

1. Executive Committee:

- ✓ **Purpose:** The Executive Committee ensures the day-to-day operations of the organization are carried out efficiently between board meetings. It deals with urgent and routine matters that need immediate attention.
- ✓ **Role in Shareholder Interest:** This committee plays a key role in ensuring smooth operations, which directly contributes to the company's stability and profitability. By handling urgent matters, the Executive Committee helps maintain investor confidence and protects shareholder value.

2. Audit Committee:

- ✓ **Purpose:** The Audit Committee is responsible for overseeing the financial reporting process, internal controls, audit practices, and compliance with laws and regulations.
- ✓ **Role in Shareholder Interest:** This committee ensures that the company's financial reports are accurate and transparent. It works to prevent fraud and ensures that all financial activities comply with legal requirements, safeguarding the shareholders' investments. Its role in monitoring audits and internal controls helps maintain trust in the company's financial health.

3. Risk Management Committee:

- ✓ **Purpose:** The Risk Management Committee focuses on identifying, assessing, and managing various risks (e.g., credit risks, liquidity risks, operational risks) that the company may face.

- ✓ **Role in Shareholder Interest:** This committee plays a critical role in minimizing potential risks that could harm the company's operations and financial performance. By implementing appropriate risk management strategies, it helps protect shareholders from significant losses due to unforeseen events, ensuring the company remains resilient.

4. Nomination and Remuneration Committee:

- ✓ **Purpose:** This committee is responsible for the nomination of new board members, ensuring the right talent is selected for leadership positions, and setting the remuneration policy for executives.
- ✓ **Role in Shareholder Interest:** By selecting qualified and capable individuals for key positions and aligning executive compensation with company performance, this committee helps ensure effective leadership. This fosters long-term growth, profitability, and sustainable value creation for shareholders.

4. The chairman of a bank shall not engage himself in the day to day business of the bank- Explain. 97(2.b)

The Chairman of a Bank Shall Not Engage Himself in the Day-to-Day Business of the Bank

The chairman of a bank is responsible for overseeing the board's activities and ensuring that the bank operates in compliance with regulations, strategic goals, and shareholder interests. However, the chairman should not engage in the day-to-day operations of the bank for the following reasons:

1. **Separation of Governance and Management:** The chairman's role is to govern and provide strategic direction, while the management, led by the CEO, handles the daily operations.
2. **Preventing Conflicts of Interest:** Direct involvement in daily operations could lead to conflicts between governance and management roles, compromising objective decision-making.
3. **Ensuring Effective Oversight:** By staying clear of day-to-day affairs, the chairman can focus on long-term strategy, risk management, and board governance.
4. **Empowering Management:** Allowing the management team to run daily operations ensures their accountability and enhances operational efficiency.
5. **Corporate Governance Best Practice:** It is a standard corporate governance principle to clearly distinguish between the roles of the chairman and the operational leadership to maintain checks and balances.

The chairman's involvement in strategic oversight rather than daily operations ensures effective governance and operational independence.

5. When and how the board of a bank can't be dissolved and an observer is appointed?

When and How the Board of a Bank Can't Be Dissolved and an Observer Is Appointed?

As per the **Bank Company Act, 1991**, the Bangladesh Bank holds the power to dissolve the board of a bank or appoint an observer in certain circumstances.

Dissolving the Board:

1. **When the Board Can Be Dissolved:**

- ✓ Bangladesh Bank can dissolve the board of directors if it determines that the board is acting in a manner detrimental or prejudicial to the interest of the bank or its depositors.
- ✓ Under **Section 47** of the Bank Company Act, 1991, the regulator may dissolve the board if it is satisfied that the board's actions harm the bank's or depositors' interests.

2. **How the Board Is Dissolved:**

- ✓ Once Bangladesh Bank is satisfied with the situation, it may take action to dismiss or dissolve the entire board.
- ✓ Upon the dissolution of the board, an officer appointed by Bangladesh Bank will take over the powers, functions, and duties of the board as per the Act.

Appointment of an Observer:

1. **When an Observer is Appointed:**

- ✓ Bangladesh Bank can appoint an observer if it feels the need to monitor the board's actions or improve corporate governance, ensure proper credit discipline, and protect the interests of depositors.
- ✓ **Section 49** of the Bank Company Act, 1991, authorizes the central bank to appoint an observer in case of mismanagement or concerns over the bank's operations.

2. **How an Observer Is Appointed:**

- ✓ Bangladesh Bank may depute one of its officers to attend meetings of the board of directors, committees, or any other bodies formed by the bank.
- ✓ The observer is given the right to be heard at these meetings and report the proceedings to Bangladesh Bank. Additionally, the observer may be tasked with monitoring how the bank's operations or branches are being run.

The board of a bank can be dissolved if its actions harm the interests of depositors or the bank, and an observer can be appointed to ensure better governance and protect depositor interests.

6. "Audit committee comprises with directors who are not Members of Executive Committee of the Board of Directors." Justify the statement. 98(2.a)

The statement "Audit committee comprises directors who are not members of the Executive Committee of the Board of Directors" is justified because the primary role of the Audit Committee is to oversee the financial reporting process, internal controls, and auditing activities, which requires independence from the executive management of the bank.

If the Audit Committee includes members from the Executive Committee, there might be a conflict of interest, as the Executive Committee is responsible for the day-to-day operations and decision-making of the bank. By having independent directors who are not involved in the daily management, the Audit Committee can ensure unbiased and objective evaluation of the bank's financial practices and internal controls, thus maintaining transparency and accountability.

7. What are the criteria's for appointing an independent director as per the instructions of BSEC Notifications, 2018? 98(2.c)

As per the BSEC (Bangladesh Securities and Exchange Commission) Notification 2018, the criteria for appointing an independent director are as follows:

1. **Shareholding:** The independent director must either not hold any shares in the company or hold less than 1% of the total paid-up shares of the company.
2. **No Relationship with Sponsors/Directors:** The director should not be a sponsor, nor have any relationship with the sponsors, directors, or shareholders holding 1% or more shares in the company.
3. **No Executive Role:** The director should not have been an executive of the company in the last two financial years.
4. **No Other Pecuniary Relationship:** The director should not have any financial or other relationships with the company or its subsidiaries.
5. **Not a Stock Exchange Member:** The director should not be a member, director, or officer of any stock exchange or any intermediary in the capital market.

These criteria ensure the independence and impartiality of the director in performing their duties.

8. What are the purposes of governance framework? What does governance framework cover? 98(2.d)

Purposes of Governance Framework:

1. To set out the principles of good governance that underpin the operations of the organization.
2. To outline the corporate governance structure, ensuring consistency across the organization.

What the Governance Framework Covers:

1. Compliance with statutory and regulatory frameworks, including relevant codes.
2. The relevant constitutions of group companies.
3. The Group Financial Standing Orders.
4. The Group Delegation Framework.
5. Risk Management Policy.

9. Discuss the guidelines provided by Bangladesh Bank and the Basel Committee for evaluating the performance of a bank's Board of Directors.

Guidelines for Evaluating the Performance of a Bank's Board of Directors

1. Bangladesh Bank Guidelines:

- ✓ Bangladesh Bank emphasizes adherence to guidelines regarding board structure, functions, and reporting.
- ✓ Regular evaluation of board committees, their members, and the frequency of meetings is required.
- ✓ Non-compliance with these guidelines demonstrates poor performance.

2. Basel Committee Guidelines:

- ✓ The Basel Committee recommends that the board should conduct regular assessments of its own performance, its committees, and individual board members.
- ✓ Reviews should include structure, size, composition, and the effectiveness of governance practices.
- ✓ Results of these assessments should be used to improve board functioning and be shared with regulators if required.

Both guidelines stress periodic evaluation and structural review to ensure board effectiveness and continuous improvement.

10. How to start building your own governance framework?

To start building your own governance framework, the following steps can be followed:

1. **Define Objectives:** Clearly define the organization's mission, vision, and strategic goals.
2. **Develop Policies and Procedures:** Create clear policies, rules, and procedures that will be part of the governance framework.
3. **Establish the Structure:** Define the roles and responsibilities of board members, and form appropriate committees with clear mandates.
4. **Reporting and Monitoring:** Implement regular reporting and monitoring systems to ensure the effectiveness of the framework.
5. **Training and Development:** Provide training programs for board members and key stakeholders to enhance their governance skills.

11. What is the importance of developing a corporate culture?

Developing a corporate culture is crucial for the following reasons:

1. **Alignment with Values:** It ensures that all employees align with the company's values, mission, and vision, promoting a unified approach to achieving goals.
2. **Improved Employee Engagement:** A strong corporate culture fosters a sense of belonging, increasing employee satisfaction and motivation.
3. **Enhanced Productivity:** A positive culture encourages collaboration, innovation, and accountability, which leads to improved performance.
4. **Attracts Talent:** Organizations with a strong, positive culture attract top talent, as candidates are often drawn to companies with values they resonate with.
5. **Reputation Management:** A strong corporate culture helps in building a reputable brand that customers, investors, and stakeholders can trust, leading to long-term success.

Module-C: CEO and Senior Management

1. As per the internal control and compliance guidelines (2016) of Bangladesh Bank, what are the roles played by Senior Management Team (SMT) in strengthening the internal control system of a bank?

Roles of Senior Management Team (SMT) in Strengthening Internal Control System

As per the **Internal Control and Compliance Guidelines (2016)** of **Bangladesh Bank**, the **Senior Management Team (SMT)** plays a crucial role in ensuring a strong internal control system in banks. Their key responsibilities include:

1. [Establishing Internal Control Structure](#) – SMT assigns clear responsibilities, authority, and reporting relationships within the bank.
2. [Monitoring Internal Control System](#) – Ensuring adequacy and effectiveness of internal control based on policies and procedures.
3. [Annual Review and Certification](#) – Reviewing overall control effectiveness yearly and providing certification to the Board.
4. [Addressing Audit Findings](#) – Reporting any undetected irregularities found during audits to the Head of ICC.
5. [Ensuring Skilled Audit Team](#) – Providing adequate manpower and IT support for effective auditing.
6. [Regulatory Compliance](#) – Ensuring compliance with laws and regulations from Bangladesh Bank, Ministry of Finance, and SEC.
7. [Defining SMT Composition](#) – SMT must include the MD/CEO and CFO, with no ICC audit executives as members.
8. [Reporting to Bangladesh Bank](#) – Reporting SMT composition to the Banking Regulation and Policy Department.

These responsibilities help banks maintain transparency, accountability, and a strong risk management framework.

2. What do you mean by Senior Management Team (SMT)? Describe the role of SMT in a business. 96(3.a)

Senior Management Team (SMT) and Its Role in a Business

Senior Management Team (SMT) refers to the group of top executives responsible for making strategic decisions and managing the overall operations of a business. It typically includes the **CEO, CFO, and heads of key departments** like HR, Finance, and Operations.

Role of SMT in a Business:

1. **Strategic Planning** – Develops and implements business strategies to achieve long-term goals.
2. **Goal Setting & Execution** – Sets targets and ensures teams work towards achieving them.
3. **Resource Management** – Allocates financial, human, and technological resources efficiently.
4. **Stakeholder Coordination** – Manages relationships with stakeholders, including investors and regulators.
5. **Internal Control & Compliance** – Ensures compliance with laws and regulations while maintaining operational efficiency.

SMT plays a crucial role in business growth, decision-making and sustainability.

3. What are the functions of Senior Management Team (SMT).

Functions of Senior Management Team (SMT)

The **Senior Management Team (SMT)** plays a crucial role in ensuring the smooth operation and governance of an organization. The key functions of SMT include:

1. **Monitoring Internal Control System** – Ensuring the adequacy and effectiveness of internal controls based on the bank's established policies and procedures.
2. **Annual Review and Certification** – Reviewing the overall effectiveness of the internal control system and providing yearly certification to the Board of Directors.
3. **Audit Support and Compliance** – Strengthening audit teams with skilled manpower and IT support for efficient auditing as per the Audit Committee's requirements.
4. **Regulatory Compliance** – Ensuring adherence to all laws and regulations issued by regulatory authorities such as Bangladesh Bank, the Ministry of Finance, and the Bangladesh Securities and Exchange Commission.

5. [Reporting Irregularities](#) – Identifying and reporting any lapses or irregularities in the audit process that were missed by previous auditors to the Audit Committee.

These functions help SMT maintain transparency, accountability, and strong internal governance in an organization.

4. State the duties and responsibilities of Chief Executive Officer (CEO) of a commercial bank as per BRPD circular letter no. 18, dated 27 October 2013. 96(3.b)

Duties and Responsibilities of CEO of a Commercial Bank

As per **BRPD Circular Letter No. 18, dated 27 October 2013**, the CEO of a commercial bank has the following duties and responsibilities:

1. [Financial and Business Management](#) – The CEO is responsible for achieving financial and business targets through proper business planning, implementation, and prudent administrative and financial management.
2. [Regulatory Compliance](#) – Ensuring compliance with the **Bank Company Act, 1991** and other relevant laws and regulations while performing routine banking functions.
3. [Board Reporting](#) – While presenting any memorandum in the **Board Meeting or Board Committee Meeting**, the CEO must highlight any deviations from banking laws and regulations.
4. [Reporting to Bangladesh Bank](#) – If any violation of the **Bank Company Act, 1991** or other laws is identified, the CEO must report it to **Bangladesh Bank**.
5. [Recruitment and Promotion](#) – The CEO has the authority to **recruit and promote** all bank employees except for the two tiers below him, following the approved service rules and HR policies.
6. [Employee Transfer and Disciplinary Actions](#) – The CEO has the power to **transfer staff and take disciplinary actions**, except for those two tiers below him, in accordance with approved service rules and HR policies.

These responsibilities ensure effective leadership, regulatory compliance, and smooth operational management of the bank.

5. Discuss in brief the roles and responsibilities of Chief Executive Officer (CEO) to achieve the goal of a financial institution? 98(3.b)

Roles and Responsibilities of the Chief Executive Officer (CEO) in a Financial Institution

The **CEO** of a financial institution plays a crucial role in achieving organizational goals by ensuring effective leadership and strategic management. The key responsibilities include:

1. **Strategic Planning & Implementation** – The CEO formulates and implements long-term strategies to ensure sustainable growth and financial stability.
2. **Regulatory Compliance** – Ensures adherence to laws, regulations, and guidelines set by central banks and regulatory authorities.
3. **Financial & Risk Management** – Oversees financial performance, risk assessment, and internal controls to maintain operational efficiency.
4. **Stakeholder Communication** – Acts as a bridge between the board, investors, regulators, and employees to align interests and objectives.
5. **Operational Leadership** – Supervises daily operations, improves service quality, and drives technological advancements in financial services.
6. **Talent & Organizational Development** – Focuses on hiring, training, and retaining skilled professionals to enhance institutional growth and performance.

By fulfilling these responsibilities, the CEO ensures the financial institution's profitability, sustainability, and regulatory compliance.

6. How does organizational culture impact business strategy? Discuss the relation between organizational culture and business strategy? 98(3.c)

How Organizational Culture Impacts Business Strategy?

Organizational culture plays a significant role in shaping and driving business strategy. The relationship between culture and strategy can be understood as follows:

1. **Alignment with Company Vision:** A strong organizational culture ensures that employees understand the company's vision, mission, and goals, which helps in creating strategies that align with the core values of the organization.

2. **Innovation and Creativity:** A positive culture fosters innovation by empowering employees to think creatively. This can lead to the development of new strategies, products, and services that enhance profitability.
3. **Employee Motivation and Retention:** When employees are treated with respect and dignity within a positive organizational culture, they are more motivated to contribute to achieving business goals, which supports the effective implementation of strategy.
4. **Strategic Decision-Making:** Organizational culture helps in making strategic decisions by emphasizing the company's core values. Decisions made by the leadership reflect the culture and align with the long-term goals of the company.
5. **Sustainability of Strategy:** A company with a strong organizational culture is more likely to withstand challenges and stay committed to its strategy, even when external factors change. The culture guides employees to adapt strategies while maintaining the company's core values.
6. **Diversity and Team Empowerment:** A diverse and inclusive culture helps create a well-rounded team that can make informed decisions. This diversity leads to better strategy formulation and execution, as it brings different perspectives to problem-solving.

Thus, organizational culture not only supports the execution of business strategy but is also a crucial element in shaping the strategy itself. A mismatch between culture and strategy can result in failure, as culture usually prevails over strategy.

7. Describe the relationship between the organizational culture and the business strategy.
97(3.b)

Relationship between Organizational Culture and Business Strategy

1. **Alignment with Vision and Mission:** Organizational culture aligns with the business strategy by ensuring that employees understand and work towards the company's vision and mission. When culture reflects the strategic goals, employees contribute effectively to achieving them.
2. **Influences Decision Making:** A company's culture shapes how decisions are made. A culture based on innovation, for example, drives strategies that encourage creativity, while a cost-focused culture will shape strategies centered on efficiency and control.
3. **Employee Motivation and Engagement:** Organizational culture impacts employee morale, leading to higher engagement. A positive culture boosts employee productivity, which is crucial for the successful execution of the business strategy.

4. **Adaptation to Market Changes:** Strong organizational culture helps businesses remain flexible and adapt their strategies as per changing market demands. A resilient culture supports adjustments in strategy without compromising the core values.
5. **Sustaining Competitive Advantage:** A strong and unique culture can provide a competitive edge. It supports the execution of business strategies that help differentiate the company from competitors, contributing to long-term success.

Module-D: Capital, Liquidity and Assets

1. What is Capital Adequacy Ratio (CAR) Describe the importance and implications of CAR. 96(4.a)

Capital Adequacy Ratio (CAR):

Capital Adequacy Ratio (CAR) refers to the minimum capital a bank must maintain to absorb potential losses and remain solvent. It is the ratio of a bank's capital to its risk-weighted assets (RWA), ensuring financial stability and protecting depositors. Regulators use CAR to assess a bank's ability to meet obligations and manage risks.

Importance and Implications of CAR:

1. **Ensures Solvency:** Helps banks absorb losses before becoming insolvent, protecting depositors' funds.
2. **Enhances Financial Stability:** Reduces the risk of bank failures, ensuring a stable financial system.
3. **Protects Depositors:** Higher CAR means greater security for depositors' savings in case of financial distress.
4. **Includes Off-Balance Sheet Risks:** Accounts for guarantees, letters of credit, and commitments in risk assessments.
5. **Indicates Financial Strength:** A higher CAR reflects a bank's ability to meet obligations and sustain operations.

A strong CAR signals a bank's resilience and financial health, ensuring trust and stability in the banking sector.

2. What are the components of Tier-1 capital? 96(4.b)

Components of Tier-1 Capital

Tier-1 capital, also known as **going-concern capital**, includes high-quality capital that helps a bank absorb losses without becoming insolvent. The key components are:

1. **Common Equity Tier 1 (CET1) Capital**

- i. Paid-up capital

- ii. Non-repayable share premium account
- iii. Statutory reserve
- iv. General reserve
- v. Retained earnings
- vi. Dividend equalization reserve
- vii. Minority interest in subsidiaries

2. Additional Tier 1 (AT1) Capital

- i. Perpetual instruments meeting regulatory requirements

Deductions from CET1 Capital:

- Shortfall in provisions against NPLs
- Goodwill and intangible assets
- Deferred tax assets (DTA)
- Investment in own shares

Tier-1 capital ensures a bank's financial strength and solvency.

3. What is the basic difference between 'Going-Concern' and 'Gone-Concern' Capital? List the components of Going- Concern' capital. 97(4.a)

Difference between 'Going-Concern' and 'Gone-Concern' Capital

Criteria	Going-Concern Capital	Gone-Concern Capital
Definition	Capital that absorbs losses while the bank is operational.	Capital that absorbs losses only during liquidation.
Purpose	Ensures financial stability and ongoing operations.	Protects creditors and depositors during liquidation.
Examples	Common Equity Tier-1 (CET1), Additional Tier-1 (AT1).	Tier-2 Capital (subordinated debt, general provisions).

Components of Going-Concern Capital

1. Common Equity Tier-1 (CET1)

- i. Paid-up capital
- ii. Statutory reserve

- iii. Retained earnings
- iv. General reserve
- v. Dividend equalization reserve
- vi. Minority interest in subsidiaries

2. Additional Tier-1 (AT1)

- i. Perpetual debt instruments

4. What do you mean by liquidity profile? Write down the indicators of liquidity risk.

Liquidity Profile

Liquidity profile refers to a financial institution's ability to meet the cash demands of its customers, especially depositors and creditors. It is a function of the institution's assets and liabilities and plays a crucial role in maintaining the stability and smooth operation of the financial system. Liquidity risk arises when a financial institution is unable to meet its funding obligations or manage mismatches between cash inflows and outflows.

Indicators of Liquidity Risk

1. **Cash outflows for different maturity buckets:** These include known and expected cash flows, estimated through statistical data or scenarios.
2. **Level of unsecured funding:** Measures how much of the funding is not backed by collateral.
3. **Ratio of liquid assets to total assets:** Indicates the proportion of liquid assets relative to total assets.
4. **Ratio of liquid assets to contingent liabilities:** Assesses how well liquid assets cover potential liabilities.
5. **Ratio of liquid assets to customers' CASA deposits:** Evaluates liquidity based on demand deposits.
6. **Unused capacity in short-term borrowing:** Measures the potential to borrow short-term funds without affecting liquidity.
7. **Large depositor concentration:** Reflects the impact of a few large depositors on liquidity.

8. **Ratio of term liabilities to illiquid assets:** Shows the relationship between long-term liabilities and illiquid assets.
9. **Intra-group exposures:** Assesses the risk associated with exposure to other group entities.

These indicators help banks manage and measure liquidity risks effectively, ensuring the institution remains capable of meeting its obligations.

5. What do problem assets mean? How does bank manage the problem assets? 98(4.b)

Problem Assets:

Problem Assets refer to assets in which there is a reasonable doubt that all amounts due, including principal and interest, will be collected according to the terms of the agreement. These assets are typically classified as Non-Performing Loans (NPLs). Identifying problem assets early is essential for effective management and to prevent further deterioration in asset quality.

Bank Management of Problem Assets:

1. **Classification of Problem Assets:** Banks classify problem assets into categories such as:
 - ✓ **Special Mention:** Potential weaknesses requiring attention to avoid future repayment issues.
 - ✓ **Substandard:** Weaknesses that jeopardize repayment, causing potential loss.
 - ✓ **Doubtful:** A situation where full repayment is improbable, and loss is expected.
 - ✓ **Bad and Loss:** Assets deemed uncollectible with little to no value remaining.
2. **Early Identification:** Banks must implement policies and processes for early identification of problem assets. Regular reviews of asset quality help in timely identification.
3. **Provisioning and Reserves:** Adequate provisions must be maintained to cover potential losses. The supervisor ensures that banks have robust systems for classification and provisioning of problem assets.
4. **Recovery Unit:** A separate Special Asset Management (SAM) or recovery unit is set up to manage NPLs. This unit focuses on the collection process, including managing defaulted loans and asset liquidation.
5. **Strategic Response:** Banks need a strategic approach to manage NPLs. Depending on the geographical and legal context, the recovery unit may be centralized or decentralized to handle the complexities effectively.

By following these strategies, banks aim to recover their dues, minimize losses, and maintain financial stability.

6. Write down the essential criteria of problem assets.

Essential Criteria of Problem Assets:

1. **Identification and Management Policies**: Laws or regulations require banks to have clear policies and processes for identifying and managing problem assets, including regular reviews at both individual and portfolio levels.
2. **Grading and Classification**: Banks must have policies and processes for classifying assets and establishing provisioning levels, ensuring that external experts review these processes.
3. **Off-Balance Sheet Exposures**: The classification and provisioning system should also account for off-balance sheet exposures.
4. **Provisioning and Write-offs**: Banks should have mechanisms in place to ensure timely provisions and write-offs based on realistic recovery expectations, considering market and macroeconomic conditions.
5. **Board Oversight**: The bank's Board must receive timely and accurate information regarding asset classification, provisioning levels, and major problem assets for proper oversight.

7. Mention the steps required for establishing a Special Asset Management Unit or Recovery Unit. 99(4.c)

Steps for Establishing a Special Asset Management (SAM) Unit or Recovery Unit:

1. **NPL Transfer**: Loans should be transferred to a centralized collection unit once they become nonperforming after 90 days of default.
2. **NPL Management**: The SAM unit should manage nonperforming loans through forbearance, cash collection, and asset foreclosure processes.
3. **Asset Liquidation**: Foreclosed assets should be liquidated as soon as possible to recover lost resources.
4. **Organizational Structure**: Establish a dedicated SAM unit that is a permanent part of the bank's structure, reporting to the CRO and/or CFO, separate from loan-originating units.

5. **Separation of Duties:** Ensure clear separation between decision-making and responsibilities to prevent conflicts of interest between loan origination and collections.

8. What are the best practices of problem asset management functions?

Best Practices of Problem Asset Management Functions:

1. **Independent SAM Unit:** Set up an independent SAM unit reporting directly to the CRO/CFO, with clear communication to the risk management function.
2. **Dedicated Collection Officer:** Assign one collection officer per case, ensuring responsibility from start to final settlement.
3. **Portfolio Adjustment:** Regularly review and adjust collection officers' portfolios based on workload and case volume.
4. **Investment in Skills:** Invest in improving collection officers' negotiation skills and legal knowledge.
5. **Performance-based Compensation:** Link collection officers' compensation to individual performance, avoiding aggressive incentive schemes that could lead to unethical practices.

9. Mention the sources of funds that can be used by a bank to meet up the unexpected demand for funds. 97(4.c)

Sources of Funds to Meet Unexpected Demand:

1. **Overnight Borrowing:** Banks can borrow short-term funds from the central bank or other financial institutions to meet immediate liquidity needs.
2. **Interbank Loans:** Banks can borrow funds from other banks in the interbank market for short-term liquidity.
3. **Repurchase Agreements (Repos):** Banks can sell securities with an agreement to repurchase them later, providing immediate cash.
4. **Call Money Market:** Short-term loans can be raised from the call money market to meet unexpected funding requirements.
5. **Liquid Assets:** Banks can liquidate or sell their easily marketable securities or other liquid assets to generate funds quickly.

10. "While lending or investing, a bank must look at the net rate of return obtained and the associated risks of holding such earning assets." Justify the statement with example.

The statement highlights the importance of balancing risk and return when a bank lends or invests. A bank must assess both the potential return and the associated risks to ensure profitable and secure asset management.

Example: When a bank lends money to a high-risk borrower, the interest rate may be high (e.g., 12%), reflecting the higher risk of default. However, if the borrower defaults, the bank faces a significant loss. On the other hand, if the bank lends to a low-risk borrower with a lower interest rate (e.g., 6%), the return is lower, but the risk of default is minimal. The bank must carefully assess the net return (interest earned) against the risk of default to ensure it makes a profitable and safe investment.

Thus, banks need to evaluate both returns and risks to manage their assets effectively and minimize potential losses.

11. At present in Bangladesh, a bank has to maintain 12-50% of its risk weighted assets as Capital Adequacy Ratio (including Buffer). Suppose, a bank has 12% adversely classified loans investment and its CAR is 9-50% (including Buffer). What problems this bank will experience in doing its business operations?

The bank in Bangladesh, with 12% adversely classified loans and a Capital Adequacy Ratio (CAR) of 9.50%, may face several operational problems:

1. **Regulatory Pressure:** The CAR is below the required minimum (12-15%), risking regulatory penalties or restrictions from the central bank.
2. **Increased Risk of Insolvency:** Adversely classified loans (12%) indicate high-risk assets, which may lead to higher loan defaults, jeopardizing the bank's solvency.
3. **Limited Lending Capacity:** Due to lower CAR, the bank may face limitations on its lending activities, affecting its growth prospects.
4. **Higher Borrowing Costs:** The bank may need to raise capital to meet CAR requirements, leading to higher costs for borrowing.
5. **Loss of Investor Confidence:** A lower CAR and high levels of non-performing assets could erode investor trust, affecting stock prices and market standing.

These issues could undermine the bank's stability and long-term operations.

Module-E: Risk Management and Controls

1. What is Enterprise Risk Management (ERM)? Describe the components of ERM.

Enterprise Risk Management (ERM):

Enterprise Risk Management (ERM) is a comprehensive approach used by organizations to identify, assess, manage, and monitor risks across the enterprise. It involves a unified framework that enables businesses, particularly banks, to manage all types of risks, including financial and non-financial, through standardized processes and tools. ERM helps organizations enhance their risk visibility, improve decision-making, and ensure regulatory compliance.

Components of ERM:

1. **Code of Conduct:** Establishes organizational values and ethics, guiding employees on handling risks appropriately.
2. **Setting Objectives and Goals:** Aligns the organization's goals with risk management processes to ensure risk is considered while achieving business objectives.
3. **Identify:** Involves identifying potential risks through stress tests, disaster scenarios, and risk modeling.
4. **Assess:** Evaluates the severity and probability of risks, calculating inherent and residual risk levels to determine mitigation steps.
5. **Response:** Develops strategies to address and mitigate identified risks, ensuring proper controls are in place.

2. What are the challenges of ERM? What are the benefits and weaknesses of Enterprise Risk Management (ERM) of a financial institution? 98(5.c)

Challenges of ERM:

1. **Lack of Framework:** ERM lacks a well-defined process to ensure comprehensive risk management. Often, it focuses on high-profile risks, neglecting routine but equally significant issues. This can lead to missed risks that could have been managed with more attention.
2. **Reactive Approach:** ERM is often more reactive than proactive. Organizations may wait for risks to manifest into losses before implementing mitigation measures, which is costlier and less effective.

3. **Exclusion of Insider Knowledge:** ERM often relies on external consultants rather than involving internal employees who possess crucial knowledge about the organization's specific risks. This results in a disconnect and may overlook internal risks that only insiders are aware of.
4. **Inadequate Mitigation Cost Calculation:** ERM typically measures risks based on severity and likelihood but does not calculate the costs associated with mitigating those risks. Without this financial aspect, risk management efforts may be neglected.
5. **Failure to Rank Risks:** Not prioritizing risks can lead to inefficient allocation of resources. Without clear ranking of risks, organizations may fail to focus on the most critical risks, potentially leading to resource wastage and ineffective risk mitigation strategies.

Benefits of ERM in Financial Institutions:

1. **Ensures Compliance:** ERM helps financial institutions stay compliant with regulatory requirements, reducing the risk of penalties and losses due to non-compliance.
2. **Sees Risk as an Opportunity:** ERM enables businesses to identify and exploit risks, turning potential threats into growth opportunities and enhancing competitive advantage.
3. **Informed Decision Making:** By providing critical risk data, ERM supports better decision-making at management levels, ensuring that all risks are considered when formulating business strategies.
4. **Cultural Change:** ERM promotes a shift in organizational culture, encouraging proactive risk management and long-term strategic planning, rather than focusing on short-term gains.
5. **Improved Risk Transparency:** ERM provides greater visibility into risk factors, helping organizations to identify and assess potential threats before they escalate.

Weaknesses of ERM in Financial Institutions:

1. **Lack of a Defined Framework:** ERM often lacks a concrete framework, leading to incomplete risk management. Without a structured approach, risk management can be inconsistent.
2. **Reactive Nature:** Instead of preventing risks, ERM often reacts only after risks materialize, leading to costly responses and missed opportunities to prevent losses.
3. **External Consultants over Internal Expertise:** Relying on external consultants rather than internal employees, who have more direct knowledge of the organization's risks, can leave gaps in risk identification.

4. **Ignoring Mitigation Costs:** By not considering the cost of mitigating risks, ERM fails to prioritize risks in a manner that ensures appropriate allocation of resources.
5. **Failure to Rank Risks:** Without prioritizing risks, ERM can lead to inefficient resource distribution and the mismanagement of more pressing threats.

3. Discuss key requirements for successful implementation of Enterprise Risk Management (ERM).

Key Requirements for Successful Implementation of Enterprise Risk Management (ERM):

1. **Risk Insight and Transparency:** Businesses need to have clear visibility into potential risks, including market threats, operational crises, and legal issues. Proactively identifying future risks is essential for effective ERM.
2. **Risk Appetite and Strategy:** Establishing a defined risk appetite and strategy helps guide decision-making at all organizational levels. Leaders should create a risk appetite statement, ensuring alignment throughout the business.
3. **Risk-Related Decisions and Processes:** ERM should be integrated into all levels of the organization, guiding decisions and processes like mergers, acquisitions, compliance, and performance management.
4. **Risk Organization and Governance:** A dedicated risk management structure is crucial. Appointing a Chief Risk Officer and establishing clear financial responsibilities ensures that risk is managed across all departments.

4. What is meant by risk appetite? What are the steps for developing the risk appetite statement? 97(5.b)

Risk Appetite:

Risk Appetite refers to the amount and type of risk an organization is willing to accept in pursuit of its strategic objectives. It can also be described as the maximum level of risk a bank or organization is prepared to accept, considering its capacity and the controls in place.

Steps for Developing the Risk Appetite Statement:

1. **Define Business Objectives:** Align the risk appetite with the organization's strategic goals and the financial obligations to stakeholders, ensuring it complements business priorities.

2. **Identify Risk Types:** Specify the types of risks the organization is willing to take, such as credit risk, market risk, operational risk, etc.
3. **Set Risk Metrics:** Develop clear quantitative and qualitative metrics to assess and measure risk tolerance levels.
4. **Establish Limit Systems:** Create systems to monitor and manage risks, ensuring any breaches are quickly identified, and appropriate actions are taken.
5. **Regular Review:** Conduct regular reviews of the risk appetite statement to adapt to changes in the business environment and market conditions.

5. What is Emerging Risk (ER)? Narrate the characteristics of ER. 96(5.b)

Emerging Risk (ER):

Emerging Risk (ER) refers to new or unforeseen risks that have not yet been identified or considered, which may develop or evolve over time. These risks are difficult to quantify, and their potential impact on an organization is not fully understood. ER can arise unexpectedly and have significant consequences if not addressed early.

Characteristics of Emerging Risk (ER):

1. **Ambiguous:** The risk is difficult to define and understand at first.
2. **Chaotic:** Emerging risks constantly change and are unpredictable.
3. **Complex:** They affect multiple factors simultaneously, making them hard to assess.
4. **Uncertain:** Lack of knowledge about how the risk will evolve makes it challenging to plan for.
5. **Uncontrollable:** Often, ER are external to the organization and beyond its direct control, requiring adaptive responses.

These characteristics highlight the unpredictability and difficulty in managing emerging risks effectively.

6. What are the benefits of three lines defense model? 97(5.c)

Benefits of the Three Lines of Defense Model:

1. **Improved Risk and Control Coverage:** The model helps identify and address gaps in risks and controls, ensuring ownership and performance are properly allocated across the three lines, thus minimizing unintended risks.
2. **Enhanced Control Culture:** It fosters a better understanding of risks and controls within the organization, allowing potential conflicts of interest to be identified and mitigated.

3. **Coordinated Reporting:** The model ensures better reporting to the board and top management, reducing duplicate or irrelevant information and providing timely and insightful updates.
4. **Strengthened Second Line Functions:** The second line of defense ensures effective oversight and provides the authority to make necessary changes to improve risk management processes.
5. **Effective Internal Audit:** The third line of defense (internal audit) independently evaluates the adequacy and effectiveness of risk management practices, ensuring continuous improvement and compliance with policies.

7. Discuss in brief the function of three line of defenses in the context of risk management purposes of a bank. 98(5.d)

Functions of the Three Lines of Defense in Risk Management for a Bank:

1. **First Line: Operational Management**
The first line is responsible for managing risks within day-to-day operations. It includes the identification, assessment, and mitigation of risks while ensuring that internal controls are properly implemented to achieve the bank's objectives.
2. **Second Line: Risk Management and Compliance**
The second line provides oversight and guidance on risk management policies, procedures, and frameworks. It ensures that risk management practices are followed, monitors risk levels, and supports the first line by providing expertise and advice.
3. **Third Line: Internal Audit**
The third line offers independent assurance on the effectiveness of risk management and internal controls. It evaluates the processes of the first and second lines, reports on their performance, and identifies areas for improvement to enhance overall risk management.

8. Mention the material risks financial institution deal with. How do financial institutions minimize/mitigate the credit risk and operational risk? 98(5.a)

Material Risks Financial Institutions Deal With

Financial institutions face several material risks, including:

1. Credit Risk
2. Market Risk
3. Liquidity Risk
4. Interest Rate Risk

5. Operational Risk
6. Information Technology Risk
7. Legal Risk
8. Compliance Risk
9. Reputation Risk
10. Strategic Risk

Minimizing/Mitigating Credit Risk and Operational Risk

1. Credit Risk Mitigation:

- i. **Credit Risk Assessment:** Conducting thorough background checks on borrowers and assessing their creditworthiness.
- ii. **Diversification:** Spreading risk across different sectors and borrowers to minimize exposure.
- iii. **Collateral:** Requiring collateral to secure loans and reduce potential losses.
- iv. **Loan Loss Reserves:** Setting aside a portion of capital as a provision for potential loan defaults.
- v. **Credit Monitoring:** Continuously monitoring borrowers' financial health and adjusting terms if necessary.

2. Operational Risk Mitigation:

- i. **Internal Controls:** Establishing strong internal controls to reduce human error and fraud.
- ii. **Insurance:** Insuring against potential losses from natural disasters or business interruptions.
- iii. **Employee Training:** Regularly training employees to avoid mistakes and fraud.
- iv. **Business Continuity Planning:** Creating backup systems and disaster recovery plans to ensure business operations continue smoothly during disruptions.
- v. **Audit Procedures:** Conducting regular audits to identify and correct operational weaknesses.

9. What are the key criteria that should be included in a Risk Appetite Framework for a bank?

Key Criteria for a Risk Appetite Framework:

1. **Board Approval:** The risk appetite framework should be reviewed and approved by the board of directors at least annually.
2. **Alignment with Strategy:** It should be in line with the organization's strategy, objectives, and the demands of key stakeholders.
3. **Coverage of Key Risks:** The framework must address all key risks, including both risks that are sought out and those to be minimized.

4. **Clear Documentation:** Risks should be documented in a risk register, including definitions, risk owners, measurement methods, and assumptions.
5. **Loss Tolerances:** It should recognize the occurrence of losses, with loss tolerances reflecting the overall business objectives.

10. Describe the steps involved in developing a Risk Appetite Statement for a bank.

Steps in Developing a Risk Appetite Statement for a Bank:

1. **Align with Strategic Objectives:** Start by aligning the bank's overall strategic and financial goals with the risk appetite.
2. **Analyze Key Data:** Consider financial statements, regulatory requirements, industry growth, peer group performance, and trends like NPL, profitability, and liquidity.
3. **Determine Risk Profile:** Identify and define the bank's risk profile based on the data analysis and the potential risks.
4. **Set Exposure Tolerances:** In consultation with business lines and relevant departments, set acceptable exposure levels and loss tolerances.
5. **Board Approval and Communication:** Obtain board approval for the risk appetite statement, communicate it across the bank, and ensure it aligns with business activities.

11. Identify and explain at least three areas of Risk Appetite that banks should consider when setting their risk limits.

Three Areas of Risk Appetite for Banks:

1. **Credit Concentration Risk:** Banks should set limits on credit exposure based on borrower, sector, and geographical area to prevent over-reliance on a single source of repayment. This ensures diversification and reduces vulnerability to sector-specific or regional economic downturns.
2. **Liquidity Risk:** Banks must establish liquidity risk limits, including maintaining appropriate liquidity ratios and managing the gap under structural liquidity profiles. This ensures they can meet short-term obligations without disrupting operations during market stress.
3. **Operational Risk:** Banks should set limits on the potential loss due to operational risks such as fraud, system failures, and business disruptions. This helps ensure that operational issues do not adversely affect the bank's financial stability and performance.

Module-F: Subsidiary and other business governance

1. What is the future of Mobile Financial Service (MFS) in Bangladesh? 97(6.b)

The Future of Mobile Financial Service (MFS) in Bangladesh

The future of **Mobile Financial Services (MFS)** in Bangladesh is promising due to increasing digital adoption and regulatory support. Key aspects include:

1. **Expansion of Services** – MFS will continue to grow beyond basic transactions, including savings, insurance, and credit facilities.
2. **Integration with Banks & FinTechs** – Collaboration with banks and financial technology firms will enhance service efficiency and innovation.
3. **Increased Financial Inclusion** – More people, especially in rural areas, will gain access to financial services, reducing dependence on cash transactions.
4. **Regulatory Developments** – Bangladesh Bank's evolving policies will ensure security, customer protection, and transparency in MFS operations.
5. **Adoption of Advanced Technology** – AI, blockchain, and biometric authentication will enhance transaction security and efficiency.
6. **Growth of Digital Economy** – E-commerce, remittances, and business payments via MFS will further boost Bangladesh's digital financial ecosystem.

MFS will play a crucial role in Bangladesh's financial landscape, promoting economic growth and digital transformation.

2. What are the categories of payment services offered by Mobile Financial Services (MFS) provider? 98(6.a)

Categories of Payment Services Offered by Mobile Financial Services (MFS) Provider

Mobile Financial Services (MFS) providers in Bangladesh offer various payment services, including:

1. **Cash-in and Cash-out Services** – Depositing and withdrawing money through agents, ATMs, bank branches, and linked accounts.
2. **Person-to-Person (P2P) Payments** – Fund transfers between individual MFS accounts or from MFS to bank accounts.

3. **Person-to-Business (P2B) Payments** – Utility bill payments, tuition fees, merchant payments, and loan repayments.
4. **Business-to-Person (B2P) Payments** – Salary disbursements, dividends, and refunds.
5. **Government Transactions** – Pension payments, allowances, tax payments, and inward remittance distribution.

These categories make MFS a vital tool for financial inclusion and digital transactions in Bangladesh.

3. What is Agent Banking? What are the services that Agents are not allowed to provide to the customers? 98(6.b)

Agent Banking:

Agent Banking is a banking service where banks provide financial services to underserved areas through authorized agents instead of bank branches. Agents facilitate transactions on behalf of banks, ensuring financial inclusion in remote locations.

Restricted Services for Agents:

Agents are not allowed to provide the following services:

1. **Loan Approval & Disbursement:** Agents cannot approve or disburse loans to customers.
2. **Account Opening Decision:** Agents may assist in account opening but cannot finalize approval.
3. **Foreign Exchange Transactions:** They are not permitted to conduct foreign currency exchange.
4. **Guarantee Issuance:** Agents cannot issue any form of financial guarantees.
5. **Investment Advisory:** They are restricted from providing investment or financial advisory services.
6. **Cheque Clearing & Settlement:** Agents cannot handle cheque processing or clearing.

These restrictions ensure security and maintain banking integrity while allowing financial access to rural communities.

4. What is Merchant Banking? Discuss in brief the main functions of Merchant Banking.

Merchant Banking

Merchant Banking refers to the financial services provided by institutions that engage in fund management, portfolio management, issue management, underwriting, and advisory services on

behalf of clients. These banks act as intermediaries between small investors and large corporations, assisting in raising capital and providing financial guidance. Merchant Banks in Bangladesh are licensed by the Bangladesh Securities and Exchange Commission (BSEC).

Main Functions of Merchant Banking:

1. **Issue Management:** This involves preparing the prospectus, managing Initial Public Offerings (IPOs), communicating with the Securities and Exchange Commission (SEC), and overseeing the allotment process. Merchant Banks also handle the listing of companies on stock exchanges and manage refund distributions.
2. **Underwriting Services:** Merchant Banks guarantee the purchase of unsubscribed shares in case of under-subscription in an issue. This ensures that companies raise the required capital, even if all shares are not subscribed.
3. **Portfolio Management Services:** These services help clients manage their investment portfolios. Merchant Banks create diversified portfolios to minimize risk and maximize returns, while also offering margin loans for further investment opportunities.
4. **Structured Finance:** In cases where traditional financing options do not suffice, Merchant Banks arrange complex financial products like syndicated loans, collateralized debt obligations (CDOs), and collateralized bond obligations (CBOs) for large corporations with specific financial needs.

These functions play a crucial role in helping clients manage investments and raise capital efficiently in the financial markets.

5. With whom can Off-Shore Banking Unit (OBU) do is business? 98(6.d)

Offshore Banking Unit (OBU) Business Transactions

An Offshore Banking Unit (OBU) can conduct business with the following entities:

1. **Enterprises in EPZs, PEPZs, EZs, and Hi-tech Parks:** OBUs can offer services to enterprises located in Export Processing Zones, Private Export Processing Zones, Economic Zones, and Hi-tech Parks.
2. **Fully Foreign-owned Enterprises in EPZs, PEPZs, EZs, and Hi-tech Parks:** OBUs can accept deposits, provide short-term loans, make investments, discount bills, negotiate bills, and issue letters of credit and guarantees to fully foreign-owned businesses in these zones.

3. **Non-Fully Foreign-owned Enterprises:** With prior permission from Bangladesh Bank's Foreign Exchange Investment Department, OBUs can conduct transactions with these enterprises.
4. **Non-resident Juristic Persons:** OBUs can provide services to non-resident juristic persons, with loans/advances covered by a guarantee/letter of credit from a licensed foreign bank.
5. **Non-resident Natural Persons (NRBs):** OBUs may accept deposits from Bangladeshi nationals working abroad or other non-residents.

These are the primary entities with whom OBUs are authorized to conduct business, under specific regulations set by Bangladesh Bank.

Module-G: Stakeholder Governance

1. "The relationship between banker and customer is not only that of a debtor and creditor, they have other relationships too." Describe the relationships. 96(7.b)

Relationship between Banker and Customer:

1. Debtor and Creditor:

When a customer opens an account, the banker becomes a debtor to the customer, holding the deposited funds. If the customer overdraws or takes a loan, the banker becomes the creditor.

2. Trustee:

In certain cases, such as when a customer deposits securities or valuables for safekeeping, the banker acts as a trustee, holding the assets for the benefit of the customer (the beneficiary).

3. Agent:

A banker may act as an agent for the customer, performing tasks like buying/selling securities, collecting cheques, and paying dues on behalf of the customer.

4. Special Relationship:

The banker has additional obligations, such as honoring cheques, maintaining customer confidentiality, and providing personalized services. The banker must also follow the customer's instructions and act in their best interest, adhering to the laws and banking practices.

2. In the banker and customer relationship both parties have some obligations and rights." Explain the statement. 98(7.a)

In the banker and customer relationship, both parties have specific **obligations** and **rights**:

1. **Obligations of the Banker:**

- ✓ **Honor the Customer's Cheques:** The banker must honor a customer's cheque if there are sufficient funds in the account, the cheque is correctly filled, and it is presented on time.
- ✓ **Maintain Secrecy:** The banker has a duty to maintain confidentiality about the customer's account and transaction details, except when required by law or with the customer's consent.

- ✓ **Provide Services:** The banker must offer the banking services agreed upon, such as withdrawing or depositing money, processing payments, and providing loans if applicable.

2. Rights of the Banker:

- ✓ **Right to Charge Fees:** The banker has the right to charge fees for services rendered, such as maintenance fees or charges for dishonored cheques.
- ✓ **Right to Refuse Payment:** The banker can refuse to honor a cheque or withdrawal if there are insufficient funds in the customer's account.
- ✓ **Right to Set-off:** The banker has the right to use the customer's deposit to settle any outstanding loan or debt the customer owes to the bank.

3. Obligations of the Customer:

- ✓ **Maintain Sufficient Funds:** The customer must ensure there are sufficient funds in their account to cover transactions like cheques or withdrawals.
- ✓ **Pay for Services:** The customer must pay any agreed-upon fees or charges related to their banking services.

4. Rights of the Customer:

- ✓ **Right to Withdraw Money:** The customer has the right to withdraw funds from their account as per the terms and conditions of the account.
- ✓ **Right to Privacy:** The customer has the right to expect confidentiality regarding their account information.

This mutual relationship ensures that both the banker and the customer can function effectively within their respective roles.

3. Describe the importance of full disclosure in corporate and financial world. 96(7.c)

Importance of Full Disclosure in the Corporate and Financial World

Full disclosure is essential in the corporate and financial world for several reasons:

1. **Ensures Transparency:** It increases transparency in banking operations, allowing stakeholders to make informed decisions and reducing the risk of manipulation or misuse of funds.
2. **Prevents Financial Crises:** Transparency helps avoid financial crises by ensuring accountability and reducing the likelihood of market manipulation, as seen during the 2008 Global Financial Crisis.

3. **Reduces Insider Trading:** Full disclosure prevents the misuse of insider information for personal gain and eliminates the risk of "window dressing" or manipulating financial reports.
4. **Informs Depositors:** It provides relevant information to depositors, helping them make informed decisions and boosting their confidence in the banking system.
5. **Reduces Market Uncertainty:** Full disclosure reduces uncertainty in the market, which in turn minimizes volatility and enhances market stability.

These practices are vital for building trust and maintaining a stable financial environment, even though some challenges may arise, such as competitive disadvantages or the cost of disclosure.

4. What are the basic rules for customer complaints received by the financial institutions?

Basic Rules for Customer Complaints in Financial Institutions

1. **Acknowledgment:** Complaints must be acknowledged promptly, ideally within a set time frame (e.g. 24-48 hours), confirming receipt of the complaint to the customer.
2. **Investigation:** The institution should investigate the complaint thoroughly to understand the issue and gather all necessary facts before responding.
3. **Response Time:** Financial institutions must provide a response or resolution to the customer within a reasonable period, usually defined by the institution's policy (e.g. within 7 to 14 days).
4. **Fairness:** The institution must ensure that all complaints are handled fairly, considering both the customer's concerns and the institution's policies.
5. **Resolution and Communication:** After investigating, the financial institution must provide the customer with a clear resolution or explanation, including any corrective actions or compensations, if applicable.

5. What are the principles of Bank of International Settlement on disclosure? 97(7.b)

The principles of Bank of International Settlement on disclosure

The **Bank for International Settlements (BIS)** has outlined the following **principles for disclosure** under **Pillar 3** to promote market discipline and transparency:

1. **Clear Disclosures:** Information should be presented in a way that is easily understandable for stakeholders and communicated through accessible means.

2. **Comprehensive Disclosures:** Banks should describe their main activities and significant risks, along with supporting data, and changes in risk exposures.
3. **Meaningful Disclosures:** Only relevant and significant risks should be highlighted, and irrelevant information should be removed.
4. **Consistent Disclosures:** Disclosures should remain consistent over time, enabling stakeholders to identify trends and changes in risk profiles.
5. **Comparable Disclosures:** Disclosures should allow stakeholders to make comparisons across banks, helping to assess risks, performance, and management practices.

6. Describe the role of CSR in community development. 97(7.c)

Role of CSR in Community Development

1. **Enhancing Brand Image:** CSR activities help businesses establish a positive reputation as socially responsible entities. This boosts their brand image, making them more attractive to customers and employees alike, while enhancing their value proposition.
2. **Employee Engagement:** Companies with strong CSR initiatives often experience higher levels of employee engagement. Employees are more likely to be satisfied and productive when they believe their organization is committed to social responsibility.
3. **Environmental Protection:** Through initiatives like tree plantation drives, waste reduction, and sustainability programs, CSR contributes to environmental conservation. This helps to reduce the company's environmental footprint and supports broader environmental goals.
4. **Community Welfare:** CSR initiatives contribute to the well-being of local communities by funding education, healthcare, disaster relief, and infrastructure development. This directly improves the living standards and opportunities for residents in these areas.
5. **Sustainable Development:** By investing in local communities, CSR helps create long-term positive impacts. These investments in education, health, and infrastructure support sustainable development and strengthen the community's resilience.

7. Discuss in brief the principles of shareholders communication. 98(7.b)

Principles of Shareholder Communication

1. **Focus on Business Strategy:** Clear communication about the company's business strategy helps shareholders feel confident about their investment. It reassures them that the management has a plan to achieve business goals and continue growth.
2. **Provide Timely and Relevant Updates:** Shareholders should receive information that is timely and relevant. Only important updates about performance, strategies, industry trends, and competitive positioning should be shared to avoid overwhelming them with unnecessary details.
3. **Plan on Full Disclosure:** Transparency is key, even when sharing negative news. Acknowledging setbacks and explaining how management plans to overcome them builds trust and demonstrates commitment to accountability.
4. **Updates of Company Performance:** Regular, clear performance summaries, news about product launches, key personnel changes, and other significant milestones are essential. Shareholders should be kept informed about how business strategies are driving results.
5. **Build Shareholder Relationships:** Effective communication helps build strong relationships with shareholders. Segmenting shareholders based on their interests allows for targeted and personalized updates, strengthening their connection with the company.
6. **Crisis Communication Plan:** A well-defined crisis communication plan is necessary to address unexpected challenges. It ensures that management can speak with one voice, providing shareholders with consistent, accurate information during crises.

These principles help maintain shareholder confidence and foster transparent, productive relationships between the company and its investors.

8. How can greater disclosure of banking problems reduce the cost of banking crisis" - Discuss in brief the importance of disclosure. 98(7.c)

Importance of Disclosure in Reducing the Cost of Banking Crises

1. **Builds Trust and Confidence:** Timely and transparent disclosure of banking problems helps maintain trust among investors, customers, and stakeholders. It assures them that the institution is aware of its challenges and is taking steps to address them.

2. **Prevents Panic:** Early disclosure of issues can prevent sudden market reactions and panic, which might otherwise lead to a run on the bank. Knowing the problem allows stakeholders to make informed decisions rather than reacting impulsively.
3. **Encourages Prompt Action:** Transparency compels banks to take corrective actions sooner. It allows regulators and market participants to engage in timely interventions, mitigating the risk of a deeper crisis.
4. **Improves Market Efficiency:** Clear disclosure ensures that all market participants have access to the same information, leading to better decision-making and more efficient allocation of resources, which can help prevent the escalation of crises.
5. **Reduces the Cost of Bailouts:** Early identification and disclosure of problems can lead to a more structured and cost-effective resolution. This reduces the need for large government bailouts, as problems can be addressed before they escalate.

9. Discuss in brief the complaint resolution process. 98(7.d)

Complaint Resolution Process:

1. **Acknowledgment:** The first step is to acknowledge the complaint. The customer should receive confirmation that their complaint has been received and is under review. This step assures the customer that their concern is being taken seriously.
2. **Screening of Complaints:** The complaint is then screened to determine its nature, urgency, and relevance. This helps in categorizing the complaint for appropriate action and prioritization.
3. **Departmental Actions for Resolution:** Once the complaint is screened, it is forwarded to the relevant department for investigation and resolution. The department takes necessary steps to address the issue, which may involve contacting the customer for further details or taking corrective actions.
4. **Appeal and Review:** If the customer is not satisfied with the resolution, they can appeal. The appeal is reviewed by senior management or an external body, depending on the institution's policies, to ensure fairness and a thorough investigation.
5. **Response and Closure:** After resolving the complaint, a response is provided to the customer explaining the action taken. Once the customer confirms satisfaction, the complaint is formally closed.

This process helps in maintaining transparency, accountability, and customer trust.

Module-H: Future Outlook of the Organization

1. What is meant by market positioning and repositioning?

Market Positioning and Repositioning

Market Positioning refers to the process of shaping consumer perception about a brand or product in comparison to its competitors. The goal is to create a distinct image or identity for the brand so that consumers view it in a particular way. For example, a bank may position itself as a luxury brand for high-income individuals.

Market Repositioning occurs when a company changes its existing brand or product's status in the market. This is usually done to improve performance or respond to changes in the market environment. It involves altering the perception of the brand to appeal to a different audience or adapt to market demands.

2. "Succession planning is a contingency plan. It is not a one-time event." Justify the statement of Digital Agenda. 98(8.a)

Succession planning is a contingency plan. It is not a one-time event.

This statement emphasizes that succession planning is an ongoing, dynamic process rather than a single, one-time action. It reflects the idea that businesses must continuously prepare for leadership transitions due to unforeseen events such as retirements, resignations, or other factors. Here's why:

1. **Continuous Assessment:** Succession planning should be updated regularly as business needs, strategies, and personnel change. This allows companies to stay prepared for any leadership gaps that may arise in the future.
2. **Adapting to Changes:** The business environment, competition, and employee skills evolve over time. Regular reviews ensure that the company's succession plan reflects these changes and identifies new potential leaders.
3. **Risk Management:** By treating succession planning as an ongoing process, organizations reduce the risks of leadership voids that could disrupt business continuity. It ensures the business is always prepared for leadership transitions, minimizing potential harm.
4. **Talent Development:** Continuous succession planning allows for the identification and grooming of future leaders, providing opportunities for employee growth and development, ensuring the organization always has a pool of qualified candidates.

5. **Long-Term Stability:** A dynamic, regularly updated succession plan ensures the business remains stable and can manage leadership changes smoothly, maintaining its competitiveness in the market.

Thus, succession planning must be an adaptive, evolving process that helps businesses handle leadership transitions seamlessly.

3. What is meant by succession planning? What are the advantages of succession planning?
97(8.a)

Succession Planning: Succession Planning refers to the process of identifying and developing internal employees with the potential to fill key leadership positions within an organization. It ensures a smooth transition of leadership and key roles when current leaders retire, resign, or are otherwise unavailable.

Advantages of Succession Planning:

1. **Continuity of Leadership:** Ensures that the organization continues to run smoothly after key personnel leave.
2. **Employee Motivation:** Encourages career development, leading to improved job satisfaction and retention.
3. **Cost Efficiency:** Reduces the costs and time associated with external recruitment.
4. **Knowledge Retention:** Helps in transferring vital knowledge and skills from existing leaders to future leaders.
5. **Risk Management:** Minimizes the risks associated with sudden vacancies in leadership positions.

4. Write down the Steps of Succession Planning Success.

Steps of Succession Planning Success:

1. **Be proactive with a plan:** Prepare a plan well in advance to address potential departures and ensure smooth transitions.
2. **Pinpoint succession candidates:** Identify employees with the potential to fill key roles and develop them for future leadership positions.
3. **Let them know:** Inform potential candidates about their role in succession planning and set clear expectations.

4. **Provide development opportunities:** Offer training and development programs to prepare successors for higher roles.
5. **Review and update regularly:** Continuously evaluate and adjust the succession plan to align with organizational needs and changes.

5. What is Digital Agenda? Write down the objectives of Digital Agenda. 98(8.b)

Digital Agenda:

Digital Agenda refers to the systematic approach and measures required to facilitate the digital transformation of a system, particularly by government bodies, organizations, or companies. It includes planned actions and strategies to shape digital change and is distinguished by its active design, analysis, planning, and decision-making process. It is different from simply recognizing digital change, as it focuses on deliberate action for transformation.

Objectives of Digital Agenda:

1. **Revenues:** Generate new revenue sources through digital products, services, and channels, enhancing customer experience and centricity.
2. **Transformation:** Reposition the business by adopting digital systems, attracting digital talent, and accessing new industries or segments.
3. **Competitiveness:** Enhance competitiveness by offering higher quality, faster delivery, and more sustainable practices via digital tools.
4. **Costs:** Reduce costs through automation, optimizing product/service delivery, and reducing manual work.

6. Describe the components of digital agenda. 96(8.b)

Components of Digital Agenda:

1. **Customer Relationships:** Providing mobile or online services that enhance customer data access, business goal achievement, and faster, easier, or cheaper transactions, improving customer intimacy.
2. **Omnichannel Experiences:** Offering seamless and delightful experiences across offline, online, mobile, and other relevant channels to create a unified customer journey.

3. **Processes:** Improving core business processes through harmonization and digital tools that eliminate unnecessary steps and interdependencies, enhancing efficiency.
4. **Marketing:** Utilizing digital marketing channels effectively by aligning digital communications, content, sales funnels, and customer journeys to inspire and delight customers.
5. **Technology:** Exploring new digital opportunities globally, identifying emerging trends, competitors' offerings, and developing applicable technologies for enhancing digital assets.

7. What does upskilling mean? What are the benefits of employee upskilling? 98(8.c)

Upskilling:

Upskilling refers to the process of teaching current employees new skills or improving their existing skills to help them grow within the organization. This training allows employees to take on bigger roles and contribute more effectively to the company's success.

Benefits of Employee Upskilling:

1. **Employee Retention:** Upskilling helps retain employees by providing them with growth opportunities, which boosts morale and productivity.
2. **Customer Satisfaction:** Happy, skilled employees contribute to better customer service, enhancing customer loyalty and satisfaction.
3. **Cost-Effectiveness:** Upskilling reduces the need for hiring new employees, saving costs related to recruitment, training, and the time required for new hires to adapt.
4. **Boosted Morale:** Employees feel valued when they receive training and development, leading to higher engagement and job satisfaction.
5. **Improved Productivity:** Skilled employees can perform better in their roles, leading to increased efficiency and effectiveness within the organization.

8. What do you mean by a future looking organization? State the important features of a future looking company. 97(8.b)

Future-looking organization

A **future-looking organization** refers to a company that focuses on long-term goals, innovation, and adapting to changes in the market, technology, and society. These organizations constantly anticipate future trends and prepare for challenges ahead, ensuring their growth and sustainability.

Important features of a future-looking company:

1. **Innovation-driven:** Continuously investing in research and development to create new products, services, or processes that meet future market needs.
2. **Adaptability:** Able to quickly adjust to changes in the industry, technology, and customer preferences, ensuring resilience in a dynamic environment.
3. **Sustainability:** Committed to long-term environmental, social, and economic sustainability, focusing on ethical practices and reducing their carbon footprint.
4. **Technology adoption:** Embraces new technologies and digital transformation to improve operations, enhance customer experience, and stay competitive.
5. **Employee development:** Focuses on upskilling and reskilling employees to prepare them for future roles and challenges, fostering a culture of continuous learning.
6. **Customer-centric approach:** Anticipates future customer needs and tailors products and services to exceed expectations, ensuring loyalty and long-term relationships.

Short Notes:

Vision and Mission Statement

A **vision statement** defines a financial institution's long-term goals and future direction. A **mission statement** outlines its purpose, key objectives, and strategies to achieve them. These statements guide decision-making, ensuring alignment with organizational goals. They help build trust among stakeholders and improve strategic focus. A strong vision and mission enhance corporate identity and long-term sustainability.

Brand Promise

A **brand promise** is a commitment by a financial institution to deliver specific value to its customers. It reflects the institution's core values and differentiates it from competitors. A strong brand promise builds customer trust, loyalty, and long-term relationships. It ensures consistency in service, enhancing brand reputation. Effective brand promises align with customer expectations and business strategies.

Code of Conduct

A **code of conduct** sets ethical guidelines and professional standards for employees of financial institutions. It includes principles like integrity, fairness, accountability, and compliance with regulations. Following a strong code of conduct reduces reputational risks and legal issues. It fosters a culture of ethical decision-making and responsible business practices. A well-defined code enhances public trust and corporate governance.

BIS Code of Conduct

The **Bank for International Settlements (BIS) Code of Conduct** provides ethical and professional standards for global financial institutions. It emphasizes market integrity, risk management, and regulatory compliance. Adherence to this code strengthens trust in the banking sector and promotes financial stability. It helps prevent unethical behavior, fraud, and market manipulation. The BIS Code ensures transparency and accountability in financial operations.

Corporate Culture

Corporate culture refers to the values, beliefs, and behaviors that shape a financial institution's work environment. It influences decision-making, employee engagement, and ethical standards. A strong corporate culture promotes transparency, integrity, and customer trust. It helps in maintaining compliance with regulations and governance practices. A positive culture enhances long-term organizational success.

Board Committee

A Board Committee is a specialized group within the board of directors that oversees specific governance areas. It ensures strategic decision-making, regulatory compliance, and risk management. Common committees include the audit, risk management, and executive committees. These committees enhance efficiency and accountability in financial institutions. Proper board governance strengthens investor and stakeholder confidence.

Executive Committee

The Executive Committee is a high-level management body responsible for implementing the board's strategic decisions. It comprises senior executives who oversee daily operations and policy execution. The committee ensures smooth coordination between different departments and corporate goals. It plays a key role in financial planning, risk management, and operational efficiency. Strong executive leadership drives institutional success and stability.

Audit Committee

The Audit Committee monitors financial reporting, internal controls, and regulatory compliance in financial institutions. It ensures transparency, accountability, and integrity in financial statements. The committee works closely with external and internal auditors to detect fraud and mismanagement. It enhances investor confidence by maintaining high corporate governance standards. Effective auditing reduces financial and operational risks.

Risk Management Committee

The Risk Management Committee identifies, assesses, and mitigates financial and operational risks. It develops policies to manage credit, market, liquidity, and operational risks. The committee ensures compliance with regulatory requirements and best risk practices. Proactive risk management protects the institution's assets and financial stability. Strong risk oversight minimizes potential losses and enhances long-term sustainability.

Board Dissolve and Appointment of Observer

Board dissolution occurs when a financial institution's board of directors is removed due to regulatory intervention or governance failures. Regulatory authorities may appoint an **observer** to oversee management decisions and ensure stability. Observers monitor compliance, risk management, and recovery efforts. This step is taken to protect stakeholders and prevent financial crises. Proper governance ensures institutional trust and market confidence.

Money at Call and Short Notice

Money at Call and Short Notice refers to short-term funds that financial institutions lend to other banks or institutions. These loans are highly liquid and can be recalled within a few days. They help banks manage temporary liquidity shortages and cash flow needs. The interest rates on these funds are usually low but vary based on market conditions. It plays a crucial role in interbank money markets.

Overdrafts

An overdraft is a short-term credit facility that allows customers to withdraw more money than available in their accounts. It provides financial flexibility and helps manage unexpected expenses. Overdrafts can be secured or unsecured, with interest charged on the overdrawn amount. Banks impose limits and repayment terms based on customer creditworthiness. It is widely used by businesses and individuals for liquidity management.

Risk-Weighted Assets (RWA)

Risk-Weighted Assets (RWA) represent a bank's assets weighted by risk factors to determine capital requirements. Higher-risk assets, like loans, require more capital, while lower-risk assets, like government bonds, require less. The calculation is crucial for regulatory compliance under Basel III norms. RWA ensures that banks maintain sufficient capital buffers against potential losses. It helps assess a bank's financial stability and risk exposure.

Risk Scanning

Risk Scanning is the process of identifying, analyzing, and assessing potential risks that may affect an organization. It involves monitoring internal and external factors, including economic, regulatory, and market risks. This proactive approach helps institutions mitigate threats and enhance risk preparedness. It plays a key role in enterprise risk management (ERM). Effective risk scanning strengthens financial stability and decision-making.

Regulatory Compliance

Regulatory Compliance refers to adherence to laws, regulations, and industry standards set by financial authorities. It ensures financial institutions operate ethically, securely, and transparently. Non-compliance can lead to penalties, reputational damage, and operational restrictions. Institutions must regularly update policies and procedures to meet regulatory requirements. Strong compliance frameworks enhance investor confidence and business sustainability.

Risk Culture

Risk Culture defines an organization's shared values, attitudes, and behaviors toward risk management. A strong risk culture promotes awareness, accountability, and ethical decision-making. It ensures employees at all levels integrate risk considerations into their daily activities. Effective risk culture reduces operational failures and enhances regulatory compliance. It plays a crucial role in achieving long-term business resilience.

Brokerage

Brokerage refers to financial services provided by firms or individuals to facilitate buying and selling of securities, commodities, or other assets. Brokers act as intermediaries between buyers and sellers and earn commissions or fees. There are different types of brokerages, including full-service and discount brokers. Brokerage firms are regulated to ensure fair and transparent trading. A strong brokerage system supports financial market efficiency.

Islamic Windows

Islamic Windows are specialized banking units within conventional banks that offer Shariah-compliant financial products. They operate under Islamic finance principles, avoiding interest (riba) and speculative activities (gharar). These windows provide services like Islamic deposits, financing, and investment options. They help banks cater to customers seeking ethical and interest-free banking solutions. Islamic Windows expand financial inclusion and promote Islamic finance growth.